

SOUTH SUDAN

Table 1 **2022**

Population, million	11.4
GDP, current US\$ billion	5.2
GDP per capita, current US\$	457.1
International poverty rate (\$2.15) ^a	67.3
Lower middle-income poverty rate (\$3.65) ^a	86.5
Upper middle-income poverty rate (\$6.85) ^a	96.6
Gini index ^a	44.1
School enrollment, primary (% gross) ^b	73.0
Life expectancy at birth, years ^b	55.5
Total GHG emissions (mtCO2e)	60.6

Source: WDI, Macro Poverty Outlook, and official data.

a/ Most recent value (2016), 2017 PPPs.

b/ WDI for School enrollment (2015); Life expectancy (2020).

Falling oil production will continue to drag on growth for a third consecutive year, although the pace of decline is lessening. Climate and external shocks, and declining official development assistance – coupled with structural challenges related to weak governance, inadequate service delivery, and ongoing localized conflict – contributed to high levels of food insecurity and widespread extreme poverty. Key downside risks include heightened conflict, oil price volatility, and climate shocks amid limited fiscal resources and pressing humanitarian needs.

Key conditions and challenges

A decade after independence, South Sudan's development prospects remain constrained by high levels of fragility amid localized conflict. A 2018 peace agreement ended five years of civil war; however, the transition period needed for its full implementation has been extended until 2025. The country is vulnerable to climate change and external shocks. Oil accounts for nearly all exports and about 90 percent of government revenues. A modest economic recovery in 2019 was upended by historic floods and the COVID-19 pandemic, which led to a massive loss in oil revenues.

Since 2021, reforms initiated under an International Monetary Fund staff-monitored program have helped improve macroeconomic and price stability. Higher oil prices following Russia's invasion of Ukraine have supported foreign exchange buffers and fiscal revenues, although expenditures have also increased. Poverty remains dire, with 7 in 10 people living in extreme poverty. Some 8.9 million people, comprising 78 percent of the population, face severe food insecurity, which is compounded by higher global food prices and domestic floods. In addition, 2.2 million people are internally displaced (55 percent of whom are women and girls), and 2.3 million remain refugees in neighboring countries.

External risks relate to adverse global oil and food prices, which reduce scarce fiscal resources amid pressing humanitarian

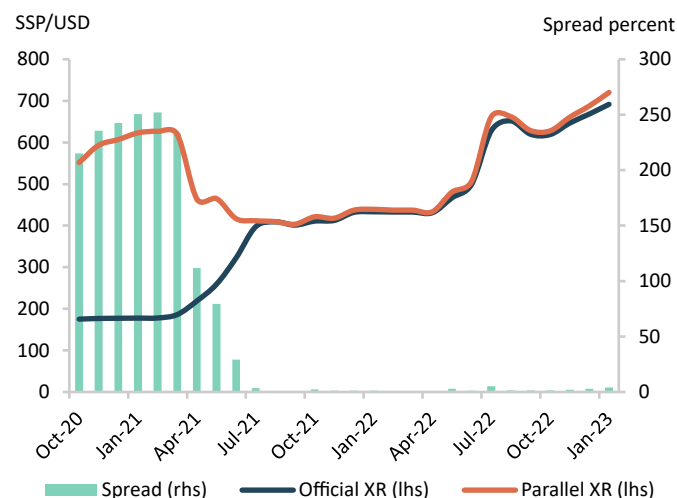
needs. Implementing the 2018 peace deal is essential for domestic peace and stability, and the resumption of growth. Macroeconomic, governance, and transparency reforms are urgently needed to ensure scarce resources are spent on development needs and to facilitate a sustainable and inclusive economic recovery. Reforms and investments are especially critical in agriculture, which supports livelihoods for 80 percent of the population; these will help to support diversification away from the oil sector, create jobs, and build resilience to climate change.

Recent developments

Economic activity remained weighed down by a fourth consecutive year of flooding, violence flareups, higher food inflation due to the war in Ukraine, and lingering impacts of the COVID-19 pandemic. Oil production fell by 7.6 percent in FY22 due to floods and low investments in oil fields. Agricultural prospects remain weak with reduced yields in crop production due to widespread floods and prolonged dry spells. These dynamics reduce households' purchasing power and worsen food insecurity. GDP contracted by an estimated 2.3 percent in FY22, following a 5.1 percent decline the previous year.

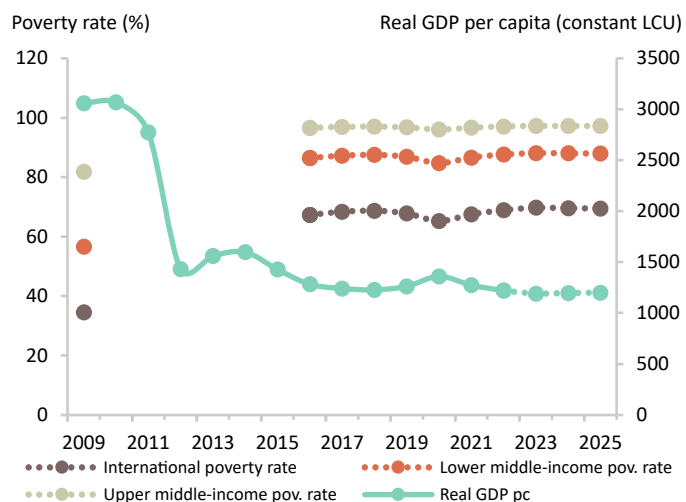
Tighter monetary policy and successful exchange rate reforms have helped to ease price pressures: barring mid-2022 when the South Sudanese pound depreciated briefly, inflation has remained in negative territory since November 2021.

FIGURE 1 South Sudan / Exchange rate developments



Sources: Bank of South Sudan and World Bank.

FIGURE 2 South Sudan / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Note: see Table 2.

Urban inflation, proxied by official Juba consumer price index data, picked up in the first half of FY23, reflecting pass-through from earlier depreciation. The exchange rate premium between official and parallel markets increased from 1.4 percent in November 2022 to 4.7 percent in January 2023, following the appreciation of the US dollar and drawdowns on foreign exchange reserves at the central bank since October 2022.

Notwithstanding higher oil revenues, fiscal pressures proved greater than anticipated in FY22. Expenditure outturns exceeded planned outlays by 168 percent, offsetting higher oil revenues and causing the government to return to oil advances and monetary financing of the fiscal deficit in mid-2022. Higher oil prices, and revenue and customs administration reforms lifted overall revenues by 55 percent.

The FY23 draft budget envisages sustained increases in capital expenditures, a 20 percent increase in public sector salaries to protect against the impact of inflation, and rising transfers to regions, which will further widen the fiscal deficit. Public financial management reforms to strengthen expenditure controls and cash management have

been initiated, including an integrated financial management information system (IFMIS). But there is limited transparency on oil revenues, including servicing of non-concessional external debt. South Sudan remains at a high risk of debt distress for both external and domestic debt.

Despite increased oil receipts and weaker demand for capital imports, the current account balance widened in line with rising food import costs, increased repatriation of investors' profits, and continued transfers to Sudan.

Outlook

GDP growth is expected to remain negative in FY23, reflecting the continued impact of floods on agricultural and oil output, with oil production projected to drop by 3.7 percent. Nonetheless, higher government current spending and expanding domestic credit should support a recovery in the non-oil sector, with farm output also expected to improve as floods eventually recede.

Over the medium term, growth should rise to above 2 percent as oil output recovers and

non-oil activity improves, supported by higher government outlays on critical public investments in roads, health, and education, and moderating inflation. This outlook is predicated on prudent monetary and fiscal policies that anchor macroeconomic stability; progress on governance, transparency, and structural reforms; and steady implementation of the peace deal. Pressure on the current account balance is expected to increase from higher debt-service obligations, a decline of oil prices, and a decline in international aid in the face of the fallout from the war in Ukraine.

Poverty is expected to remain stagnant at around 70 percent in the medium term as real growth prospects are limited. Addressing this reinforces the urgency of fiscal and public financial management reforms that generate budgetary resources to increase social expenditures. While efforts to modernize tax administration using digital solutions and expand the tax base will help, fiscal pressures will remain substantial given sizable debt-service obligations, the reduction of legacy arrears, and rising social and humanitarian expenditures. It is, thus, also vital to strengthen the management and transparency of oil revenues.

TABLE 2 South Sudan / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2020	2021	2022e	2023f	2024f	2025f
Real GDP growth, at constant market prices	9.5	-5.1	-2.3	-0.4	2.3	2.4
Real GDP growth, at constant factor prices	9.5	-5.1	-2.3	-0.4	2.3	2.4
Agriculture	6.0	-4.0	-1.8	-1.4	2.8	2.8
Industry	27.5	-2.3	-4.8	-2.2	1.2	1.2
Services	-9.6	-9.7	1.7	2.7	3.8	4.0
Inflation (Consumer Price Index)	33.3	43.1	22.0	18.0	16.1	8.5
Current Account Balance (% of GDP)	-20.3	-5.5	-1.4	4.2	3.8	3.6
Net Foreign Direct Investment Inflow (% of GDP)	-0.4	0.9	1.0	-0.4	-0.9	-1.4
Fiscal Balance (% of GDP)	-9.8	-6.8	-6.1	4.0	5.6	6.0
Revenues (% of GDP)	29.5	30.9	30.1	31.6	30.7	30.5
Debt (% of GDP)	40.7	57.6	59.5	53.7	47.4	42.9
Primary Balance (% of GDP)	-7.8	-4.4	-4.0	5.3	6.8	7.3
International poverty rate (\$2.15 in 2017 PPP)^{a,b}	65.3	67.5	68.9	69.7	69.6	69.5
Lower middle-income poverty rate (\$3.65 in 2017 PPP)^{a,b}	84.7	86.6	87.7	88.1	88.1	88.0
Upper middle-income poverty rate (\$6.85 in 2017 PPP)^{a,b}	96.1	96.7	97.1	97.3	97.3	97.2
GHG emissions growth (mtCO₂e)	-0.2	0.6	0.1	0.0	0.1	0.4
Energy related GHG emissions (% of total)	3.0	2.9	2.9	2.9	3.1	3.2

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.

a/ Calculations based on 2016-HFS-W3. Actual data: 2016. Nowcast: 2017-2022. Forecasts are from 2023 to 2025.

b/ Projection using neutral distribution (2016) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU.